in my falling out of favour with some influential people in the market. Also, I hated to back out of a commitment once I had agreed to it.

But I was keen to hear what he had to say.

‘Yes, things look a bit tough for now, but nothing to be alarmed about. Even otherwise, you will not be losing anything from your pocket if things take a turn for the worse,’ he said. I could sense an edge of irritation in his tone.

I left it at that, though my trader’s instinct told me there was a disaster looming. Despite not wanting to be proved right this time, my fears turned out to be justified. On the evening of 31 July, NSEL announced it was suspending trading in all contracts, except e-series contracts, until further notice. Delivery and settlement of all pending contracts were to be merged and deferred for fifteen ays. It was an admission that the borrowers had defaulted on their obligations.

The following day, share prices of both MCX and FTIL collapsed within minutes of the market opening. FTIL, which had closed at Rs 541 the previous day, nosedived to Rs 180, giving little time for traders to react. MCX shares crashed 20 per cent to Rs 512, and trading in it was frozen because there were only sellers in the stock. There was no way the bulls could get out.

The fall in FTIL upset me greatly because I had been told just the previous evening not to square off my long positions as it would add to the panic. I am sure the other market-makers too must have been told the same thing. But the steep erosion in price meant that I had to deposit additional margins with the stock exchange. I had expected a 10-15 per cent fall in the stock, but a 65 per cent slide was beyond my most pessimistic estimate.

I knew that if I dumped the positions, it would be a while before I could hope to be reimbursed for the losses. I called up my contact to check if the previous evening’s instruction still held. I was told it did, and was asked to buy some more.

‘But I will need funds for the margin,’ I said.

‘It will be arranged in a couple of hours’ time. Let me call you back,’ he said.

The call never came. I squared off my positions in FTIL, not sure if I would be paid my dues in the near future. But I was still saddled with my long positions in MCX, which crashed another 20 per cent the following day, with no buyers for the stock. The exchanges then reduced the intra-day